

LBOMODEL4 — Cash & Debt Assumption Documentation

Plain bulleted list by line item (copy/paste friendly). Not a chart. Categories: Growth trajectory, Source, Verbatim, Why reasonable, Major Variable.

LINE ITEM: Cash, EOP (LBO row 144)

- **Growth trajectory:** 0% excess. Cash EOP held at minimum \$50m (Sources D16). Full sweep keeps cash flat; dollars do not pile up.
- **Source:** REASONABLE: hold operating cash at model minimum \$50m
– Link: <https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm>
- **Verbatim / EQ:** EQ: F144=\$D\$16 (Minimum cash desired). Filing cash was ~\$179.9m at close; excess above \$50m funded Sources (D27).
- **Why reasonable:** Keeping only \$50m cash is normal in a full-sweep LBO so extra cash pays debt instead of sitting idle.
- **Major Variable:** NO — cash stock stays flat. Not the main lever; the sweep of extra cash is.

LINE ITEM: Less: Minimum cash desired (LBO row 150)

- **Growth trajectory:** \$50m flat min cash every year (Sources D16). Same floor all periods.
- **Source:** REASONABLE: Minimum cash desired = \$50m in Sources
– Link: <https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm>
- **Verbatim / EQ:** EQ: F150=–\$D\$16. Sources D16=50. Excess cash at close = filing cash – 50 → D27.
- **Why reasonable:** The \$50m floor is the cash the business must keep to run day to day.
- **Major Variable:** YES — OUTFLOW of usable cash (locked as minimum). NET – vs using that cash to cut debt, but needed so the company can operate.

LINE ITEM: Plus: Free cash flows generated during period (LBO row 152)

- **Growth trajectory:** +5% sales-driven. FCF \$ grows each year with AI_Operating (~\$123m→~\$248m). Not a flat dollar.
- **Source:** REASONABLE: FCF for sweep = AI_Operating FCF after interest
– Link: <https://ryanoconnellfinance.com/lbo-model-fundamentals/>
- **Verbatim / EQ:** Ctrl+F: 50-100% of annual excess free cash flow
EQ: F152=AI_Operating!D21. That FCF already nets CapEx and ΔNWC from Drivers.
- **Why reasonable:** This is the cash the deal actually makes after interest. It is what can pay down loans.
- **Major Variable:** YES — INFLOW of cash to the LBO. NET + for the LBO. More free cash means more debt paydown and a better equity outcome.

LINE ITEM: Revolver, EOP (LBO row 157)

- **Growth trajectory:** 0\$ drawn. Revolver stays undrawn; FCF covers needs so no revolver inflow.
- **Source:** CAUTION — revolver capacity \$350m but draw = \$0 in base path
– Link: <https://ryanoconnellfinance.com/lbo-model-fundamentals/>
- **Verbatim / EQ:** EQ: F155:F157=0. Availability F158=350 is a backstop, not used cash.
- **Why reasonable:** The revolver is a rainy-day credit line. In this case we do not need to borrow on it.
- **Major Variable:** NO — not used. If drawn it would be an INFLOW of cash but also NET – (more debt). Here it is idle.

LINE ITEM: Term Loan A, BOP (LBO row 162)

- **Growth trajectory:** –1%/yr mandatory + 100% sweep. TLA BOP starts \$457.8m (Sources 2.5× EBITDA); balance falls as cash pays it down.
- **Source:** REASONABLE: TLA principal = Sources D29 = 2.5× LTM EBITDA
– Link: <https://ctacquisitions.com/acquisition-financing/>
- **Verbatim / EQ:** EQ: F162=\$D\$29 (457.8). Was a stale ~\$2.9bn hardcoded loan — replaced with GTM Sources stack.

- **Why reasonable:** Term Loan A is the senior bank loan. Starting size must match the Sources page, not old template debt.
- **Major Variable:** YES — debt balance (not cash flow by itself). NET + for equity when the balance falls; lower TLA means less interest and more exit equity.

LINE ITEM: Mandatory paydown \$ (TLA) (LBO row 163)

- **Growth trajectory:** 1%/yr of original TLA (Drivers C17). Flat \$ amort each year ($=0.01 \times \$457.8m$), not 5–10% old hardcodes.
- **Source:** REASONABLE: Drivers C17=1% mandatory amortization
– Link: <https://clearvaluelending.com/glossary/term-loan-b>
- **Verbatim / EQ:** Ctrl+F: minimal amortization (1% annually)
EQ: $F163 = \$D\$29 * Assumptions_Drivers! \$C\$17$.
- **Why reasonable:** Lenders require a small fixed paydown each year even before the cash sweep.
- **Major Variable:** YES — OUTFLOW of cash to lenders. NET + for the LBO. Required paydown shrinks debt and helps the buyout delever.

LINE ITEM: Cash sweep (paydown from excess cash flows) (LBO row 164)

- **Growth trajectory:** 100% sweep (Drivers C18). Sweep \$ = $\max(0, FCF - TLA\ mand - TLB\ mand)$; grows as FCF grows.
- **Source:** REASONABLE: Drivers C18=100% excess FCF sweep to debt
– Link: <https://ryanoconnellfinance.com/lbo-model-fundamentals/>
- **Verbatim / EQ:** Ctrl+F: 50-100% of annual excess free cash flow
Ctrl+F: typically modeled at 100%
EQ: $F164 = \max(0, AI_FCF - mandTLA - mandTLB) * C18$. Priority: Term Loan A first.
- **Why reasonable:** A 100% sweep means almost all leftover cash after the required 1% paydown goes to cut Term Loan A.
- **Major Variable:** YES — OUTFLOW of cash (to pay debt). NET + for the LBO. Sweeping cash to Term Loan A is how the deal gets safer and equity value rises.

LINE ITEM: Cash sweep % (LBO row 167)

- **Growth trajectory:** 100% flat (Drivers C18). Sweep percent does not change; dollars swept grow with FCF.
- **Source:** REASONABLE: cash sweep % = Drivers C18 = 100%
– Link: <https://ryanoconnellfinance.com/lbo-model-fundamentals/>
- **Verbatim / EQ:** Ctrl+F: typically modeled at 100%
EQ: sweep dollars in F164 use $Assumptions_Drivers! \$C\18 .
- **Why reasonable:** 100% means we model using essentially all excess free cash to repay debt.
- **Major Variable:** YES — OUTFLOW rule. NET + for the LBO. A full sweep is credit-positive: cash goes to debt, not dividends or idle cash.

LINE ITEM: Term Loan B, BOP (LBO row 170)

- **Growth trajectory:** –1%/yr mandatory only. TLB starts \$274.7m (Sources 1.5×); falls slowly; no sweep until TLA is ahead.
- **Source:** REASONABLE: TLB principal = Sources D30 = 1.5× LTM EBITDA
– Link: <https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/>
- **Verbatim / EQ:** EQ: $F170 = \$D\30 . Rate Drivers C28=SOFR+5%. Mandatory = $C17 \times \text{original TLB}$.
- **Why reasonable:** Term Loan B sits behind Term Loan A, so it gets the small 1% paydown while TLA takes the sweep.
- **Major Variable:** YES — debt balance. NET + for equity as it declines, but less than TLA because most extra cash hits TLA first.

LINE ITEM: Mandatory amortization \$ (TLB) (LBO row 171)

- **Growth trajectory:** 1%/yr of original TLB (Drivers C17). Flat \$ amort ($=0.01 \times \$274.7\text{m}$) each year.
- **Source:** REASONABLE: same 1% mandatory rule on TLB
 - Link: <https://clearvaluelending.com/glossary/term-loan-b>
- **Verbatim / EQ:** Ctrl+F: minimal amortization (1% annually)
EQ: $F171 = \$D\$30 * \text{Assumptions_Drivers!}\$C\$17$.
- **Why reasonable:** Same 1% lender rule as Term Loan A, applied to the Term Loan B size.
- **Major Variable:** YES — OUTFLOW of cash to TLB lenders. NET + for the LBO because it still reduces total debt each year.

LINE ITEM: Senior Note, BOP (LBO row 178)

- **Growth trajectory:** 0% amort. Senior Notes \$183.1m (Sources 1.0x) stay flat — bullet at maturity; no annual paydown in model.
- **Source:** REASONABLE: Notes principal = Sources D31; bullet (0% mandatory)
 - Link: <https://ctacquisitions.com/acquisition-financing/>
- **Verbatim / EQ:** EQ: $F178 = \$D\31 ; $F179 = 0$. Interest $= (\text{SOFR} + 3.5\%) \times \text{Notes BOP}$. Balance does not amortize in-forecast.
- **Why reasonable:** Notes usually do not get paid down a little each year; they wait until the end unless refinanced.
- **Major Variable:** YES — debt still outstanding. NET – vs TLA/TLB paydowns: Notes keep interest expense alive until exit/refi.

LINE ITEM: Interest — Term Loan A (LBO row 208)

- **Growth trajectory:** 8.3% rate flat (Drivers C27=SOFR+4%). Interest \$ falls as TLA balance falls from sweep.
- **Source:** REASONABLE: TLA rate = Drivers C27 = SOFR 4.3% + 4.0%
 - Link: <https://www.global-rates.com/en/interest-rates/sofr/historical/2024/>
- **Verbatim / EQ:** Ctrl+F: 4.30
Ctrl+F: SOFR + 400-500 bps
EQ: $F208 = F162 * \text{Assumptions_Drivers!}\$C\$27$. IS interest $F50 = -(\text{TLA} + \text{TLB} + \text{Notes interest})$.
- **Why reasonable:** Interest is the price of the loan. As Term Loan A shrinks, this interest bill should shrink too.
- **Major Variable:** YES — OUTFLOW of cash (interest). NET – for the LBO each year it is paid, but falling TLA makes this outflow smaller over time (good).

LINE ITEM: Interest — Term Loan B (LBO row 209)

- **Growth trajectory:** 9.3% rate flat (Drivers C28=SOFR+5%). Interest \$ edges down only with 1% TLB amort.
- **Source:** REASONABLE: TLB rate = Drivers C28 = SOFR + 5.0%
 - Link: <https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/>
- **Verbatim / EQ:** Ctrl+F: SOFR + 300-500 basis points
EQ: $F209 = F170 * \text{Assumptions_Drivers!}\$C\$28$.
- **Why reasonable:** Term Loan B costs more than Term Loan A because it is riskier for lenders.
- **Major Variable:** YES — OUTFLOW of cash (interest). NET – for the LBO. Higher rate than TLA, and the balance falls only slowly.

LINE ITEM: Interest — Senior Note (LBO row 210)

- **Growth trajectory:** 7.8% rate flat (SOFR+3.5%). Interest \$ stays roughly flat because Notes principal does not amortize.
- **Source:** REASONABLE: Notes $\approx$ SOFR+3.5% (same stack used in DCF cost of debt)
 - Link: <https://www.global-rates.com/en/interest-rates/sofr/historical/2024/>

- **Verbatim / EQ:** EQ: $F210 = F178 * (\text{Assumptions_Drivers!}\$C\$14 + 0.035)$. Principal flat → interest roughly flat.
- **Why reasonable:** Notes interest keeps showing up every year while the Notes balance stays outstanding.
- **Major Variable:** YES — OUTFLOW of cash (interest). NET – for the LBO until exit or refinance clears the Notes.

Also available as plain text: LBO/output/LBOMODEL4_CASH_AND_DEBT_SOURCES.txt